



Bill Number: H.B. 2321

Finchem Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Removes the \$100,000 appropriation from the state General Fund to the Department of Child Safety in FY 2027 for purposes relating to credit freezes for dependent children.

FINCHEM FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2321
(Reference to House engrossed bill)

Amendment instruction key:

~~[GREEN UNDERLINING IN BRACKETS]~~ indicates text added to statute or previously enacted session law.

~~[Green underlining in brackets]~~ indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

~~<<Green carets>>~~ indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 8, chapter 4, article 4, Arizona Revised Statutes,
3 is amended by adding section 8-530.10, to read:

4 8-530.10. Security freeze; credit report; dependent children
5 in department care; parental notification;
6 definitions

7 A. WITHIN THIRTY DAYS AFTER A CHILD IS ADJUDICATED A DEPENDENT
8 CHILD AND PLACED IN THE CARE OF THE DEPARTMENT, THE DEPARTMENT SHALL PLACE
9 A SECURITY FREEZE ON THE CHILD'S RECORD OR CREDIT REPORT PURSUANT TO
10 SECTION 44-1698.02.

11 B. A SECURITY FREEZE THAT IS PLACED ON A CHILD'S RECORD OR CREDIT
12 REPORT PURSUANT TO SUBSECTION A OF THIS SECTION SHALL REMAIN IN EFFECT
13 UNTIL THE CHILD REACHES SIXTEEN YEARS OF AGE. WHEN A CHILD REACHES
14 SIXTEEN YEARS OF AGE, THE CHILD MAY ELECT TO HAVE THE SECURITY FREEZE
15 REMAIN OR TO HAVE THE SECURITY FREEZE REMOVED.

16 C. THE DEPARTMENT SHALL NOTIFY THE PARENT OR GUARDIAN OF A CHILD
17 WHEN A SECURITY FREEZE HAS BEEN PLACED ON THE CHILD'S RECORD OR CREDIT
18 REPORT AND SHALL NOTIFY THE CHILD'S PARENT OR GUARDIAN THAT A SECURITY
19 FREEZE REMAINS ON THE CHILD'S RECORD OR CREDIT REPORT WHEN THE CHILD
20 LEAVES THE CUSTODY OF THE DEPARTMENT. THE NOTIFICATION SHALL INCLUDE
21 INFORMATION ON THE PROCESS FOR REMOVING THE SECURITY FREEZE WHEN THE CHILD
22 LEAVES THE CARE OF THE DEPARTMENT.

23 D. FOR THE PURPOSES OF THIS SECTION:

24 1. "RECORD" HAS THE SAME MEANING PRESCRIBED IN SECTION 44-1698.02.

25 2. "SECURITY FREEZE" HAS THE SAME MEANING PRESCRIBED IN SECTION
26 44-1698.02.

1 Sec. 2. Section 44-1698.02, Arizona Revised Statutes, is amended to
2 read:

3 44-1698.02. Protected persons; security freezes; credit
4 reports; fee prohibited; definitions

5 A. A consumer reporting agency shall place a security freeze on a
6 protected person's record or credit report if both of the following apply:

7 1. The consumer reporting agency receives a request from the
8 protected person's representative for the placement of the security
9 freeze.

10 2. The protected person's representative does all of the following:

11 (a) Submits the request to the consumer reporting agency at the
12 address or other point of contact and in the manner specified by the
13 consumer reporting agency.

14 (b) Provides to the consumer reporting agency sufficient proof of
15 identification of the protected person and the representative.

16 (c) Provides to the consumer reporting agency sufficient proof of
17 authority to act on behalf of the protected person.

18 B. If a consumer reporting agency does not have a file pertaining
19 to a protected person when the consumer reporting agency receives a
20 request pursuant to subsection A, paragraph 1 of this section, the
21 consumer reporting agency shall create a record for the protected person.

22 C. Within thirty days after receiving a request pursuant to this
23 section, a consumer reporting agency shall place a security freeze on the
24 protected person's record or credit report.

25 D. Unless a security freeze is removed pursuant to subsection F or
26 I of this section, a consumer reporting agency may not release the
27 protected person's credit report, any information derived from the
28 protected person's credit report or any record created for the protected
29 person.

30 E. A security freeze that is placed on a protected person's record
31 or credit report under this section remains in effect until either:

32 1. The protected person or the protected person's representative
33 requests that the consumer reporting agency remove the security freeze
34 pursuant to subsection F of this section.

35 2. The security freeze is removed pursuant to subsection I of this
36 section.

37 F. To remove a security freeze for a protected person, the
38 protected person or the protected person's representative shall submit a
39 request for the removal of the security freeze to the consumer reporting
40 agency at the address or other point of contact and in the manner
41 specified by the consumer reporting agency. In addition:

42 1. If the protected person ~~requested~~ REQUESTS the removal of the
43 security freeze, the protected person shall provide to the consumer
44 reporting agency either of the following:

1 (a) Proof that the protected person's representative no longer has
2 sufficient proof of authority to act on behalf of the protected person.

3 (b) Sufficient proof of identification of the protected person.

4 2. If the protected person's representative ~~requested~~ REQUESTS the
5 removal of the security freeze on behalf of the protected person, the
6 protected person's representative shall provide to the consumer reporting
7 agency both of the following:

8 (a) Sufficient proof of identification of the protected person and
9 the representative.

10 (b) Sufficient proof of authority to act on behalf of the protected
11 person.

12 G. Within thirty days after receiving a request to remove a
13 security freeze placed pursuant to subsection A of this section, the
14 consumer reporting agency shall remove the security freeze for the
15 protected person.

16 H. A consumer reporting agency may not charge a fee for each
17 placement or removal of a security freeze on a protected person's record
18 or credit report.

19 I. A consumer reporting agency may remove a security freeze for a
20 protected person or may delete a protected person's record if the security
21 freeze was placed or the record was created based on a material
22 misrepresentation of fact by the protected person or the protected
23 person's representative.

24 J. An act or practice in violation of this section is an unlawful
25 practice under section 44-1522 and is subject to enforcement through a
26 private action and by the attorney general. The attorney general may
27 investigate and take appropriate action as prescribed by chapter 10,
28 article 7 of this title. The remedies provided in this section are not
29 intended to be the exclusive remedies available to a protected person.

30 K. This section does not apply to the use of a protected person's
31 credit report or record by any of the following:

32 1. A person administering a credit file monitoring subscription
33 service to which either:

34 (a) The protected person has subscribed.

35 (b) The protected person's representative has subscribed on behalf
36 of the protected person.

37 2. A person providing the protected person or the protected
38 person's representative with a copy of the protected person's credit
39 report on the request of the protected person or the protected person's
40 representative.

41 3. A check services or fraud prevention services company that
42 issues either:

43 (a) Reports on incidents of fraud.

1 (b) Authorizations for the purpose of approving or processing
2 negotiable instruments, electronic funds transfers or similar payment
3 methods.

4 4. A deposit account information service company that issues
5 reports relating to account closures due to fraud, substantial
6 overdrafts, ~~OR~~ automated teller machine abuse or similar negative
7 information about a protected person to inquiring banks or other financial
8 institutions for use only in reviewing a protected person's request for a
9 deposit account at the inquiring bank or financial institution.

10 5. An insurance company for the purpose of conducting its ordinary
11 business.

12 6. A consumer reporting agency that both:

13 (a) Acts only to resell credit information by assembling and
14 merging information contained in a database of another consumer reporting
15 agency.

16 (b) Does not maintain a permanent database of credit information
17 from which new credit reports are produced.

18 7. A consumer reporting agency's database or file that consists of
19 information concerning and used for one or more of the following, but not
20 for credit granting, purposes:

21 (a) Criminal record information.

22 (b) Fraud prevention or detection.

23 (c) Personal loss history information.

24 (d) Employment, tenant or individual background screening.

25 8. A governmental entity when carrying out its duties.

26 9. A person, a subsidiary, affiliate, agent or subcontractor of
27 that person, an assignee of a financial obligation owed by the protected
28 person to that person or a prospective assignee of a financial obligation
29 owed by the protected person to that person in conjunction with the
30 proposed purchase of the financial obligation with which the protected
31 person has or had before assignment an account or contract, including a
32 demand deposit account, or to whom the protected person issued a
33 negotiable instrument, for the purposes of reviewing the account or
34 collecting the financial obligation owed for the account, contract or
35 negotiable instrument. For the purposes of this paragraph, "reviewing the
36 account" includes activities that are related to account maintenance,
37 monitoring, credit line increases and account upgrades and enhancements.

38 L. For the purposes of this section:

39 1. "Protected person" means **ANY OF THE FOLLOWING:**

40 (a) An individual who is under sixteen years of age at the time a
41 request for the placement of a security freeze is made. ~~or who is~~

42 (b) An incapacitated person or a protected person for whom a
43 guardian or conservator has been appointed.

44 (c) **A CHILD WHO IS IN THE CARE OF THE DEPARTMENT OF CHILD SAFETY.**

1 2. "Record" means a compilation of information to which all of the
2 following apply:

3 (a) The record identifies a protected person.

4 (b) The record is created by a consumer reporting agency solely for
5 the purpose of complying with this section.

6 (c) The record is not created or used to consider the protected
7 person's creditworthiness, credit standing, credit capacity, character,
8 general reputation, personal characteristics or mode of living.

9 3. "Representative" means a person who provides to a consumer
10 reporting agency sufficient proof of authority to act on behalf of a
11 protected person.

12 4. "Security freeze" means:

13 (a) If a consumer reporting agency does not have a file pertaining
14 to a protected person, a restriction that is placed on the protected
15 person's record and that prohibits the consumer reporting agency from
16 releasing the protected person's record.

17 (b) If a consumer reporting agency has a file pertaining to the
18 protected person, a restriction that is placed on the protected person's
19 credit report and that prohibits the consumer reporting agency from
20 releasing the protected person's credit report or any information derived
21 from the protected person's credit report.

22 5. "Sufficient proof of authority" means documentation that shows a
23 representative has authority to act on behalf of a protected person and
24 includes:

25 (a) A court order.

26 (b) A lawfully executed and valid power of attorney.

27 (c) A written, notarized statement signed by a representative that
28 expressly describes the authority of the representative to act on behalf
29 of a protected person.

30 6. "Sufficient proof of identification" means information or
31 documentation that identifies a protected person or a representative of a
32 protected person and includes:

33 (a) A social security number or a social security card issued by
34 the social security administration.

35 (b) A certified or official copy of a birth certificate issued by
36 the department of health services.

37 (c) A driver license or a nonoperating identification license
38 issued by the department of transportation pursuant to title 28, chapter 8
39 or any other ~~government issued~~ GOVERNMENT-ISSUED identification.

40 ~~<<Sec. 3. Appropriations, department of child safety;~~
41 ~~dependent children security freeze; intent~~

42 ~~A. The sum of \$100,000 and one FTE position are appropriated from~~
43 ~~the state general fund in fiscal year 2026-2027 to the department of child~~
44 ~~safety to assist with placing and removing security freezes on the record~~
45 ~~or credit report of dependent children pursuant to section 8-530.10;~~

Senate Amendments to H.B. 2321

1 ~~Arizona Revised Statutes, as added by this act, and to assist with any~~
2 ~~credit fraud issues related to the credit of a dependent child who is in~~
3 ~~the care of the department of child safety.~~
4 ~~B. The legislature intends that the one FTE position that is~~
5 ~~appropriated pursuant to subsection A of this section be considered~~
6 ~~ongoing in future years.>>~~

7 Enroll and engross to conform

8 Amend title to conform

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